

History of Economic Thought

ECO 4343 & 5343

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Tuesday & Thursday, 2:00–3:15 pm

Foster 402

August 25 – December 8, 2026

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Hours: Tue 3:30–4:45 pm

Wed 9:00–10:15 am

Does market exchange harmonize our interests, or conceal a conflict between them?

We ask this question every week, of every writer we read. Smith, Ricardo, Bentham, Bastiat, Mill, Marx, and the marginalists all give different answers. By December you should be able to say where each of them lands, and why.

What this course is

Economics became a specialized field over several hundred years. Many of its ideas came and went; many were absorbed into what you are taught today. This course covers the period when the foundations were laid: the writers before Adam Smith, then Smith, Malthus, Ricardo, Bentham, Say, Senior, Mill, Bastiat, and Marx, ending with the marginalists in the 1870s.

We stop before 1900. That is deliberate. A course that covers everything from Aristotle to Keynes gives you a list of names. I would rather you read a small number of difficult writers closely.

What you will be able to do in December

Five specific things, not just “understand economic thought.”

1. **Reconstruct.** Read an argument in the author’s own words and identify the assumption that his conclusion depends on.
2. **Compute.** Derive Ricardian rent by hand. Find the range where trade is mutually beneficial. Calculate a rate of profit from s , c , and v . On paper, in ten minutes.
3. **Formalize.** Turn a verbal argument into variables, parameters, and an equation.
4. **Find the boundary.** Identify the parameter values at which the result reverses or disappears, and say which assumption was responsible.
5. **Place it.** Say where a writer lands on the question above, and identify the feature of his argument, not his politics, that puts him there.

The book

E.K. Hunt and Mark Lautzenheiser, *History of Economic Thought: A Critical Perspective*, 3rd edition. This is the only book you must buy, and the 3rd edition is the newest one — do not pay extra hunting for a later one. It is published by M.E. Sharpe and reissued by Routledge; either printing is fine.

It runs about \$43 new on Amazon (ISBN 0-7656-2599-7). **See Canvas for more information about getting a copy.**

Buy it. I will post the PDF on Canvas so you are not stuck waiting on shipping, but you should get a physical copy. You will be citing this book by page number all semester and that is easier in a copy you can mark up.

Additional readings, when I assign them, go on Canvas.

An AI coding agent (also required)

You will need an account with **Claude** (<https://claude.ai>) or **Codex** (through ChatGPT, <https://chatgpt.com>). The paid tier, about \$20 a month, is what you want.

Treat this like the book. It is a required material and you should budget for it. If you prefer a different coding agent, ask me and I will probably approve it. If the cost is a genuine problem, come see me early and privately and we will work it out.

How you are graded

Component	Weight	When
Tuesday quizzes	20%	Every Tuesday, at 2:02 pm sharp
Builds	30%	Six, every other Thursday
Midterm	20%	Thursday, October 1
Final	30%	Tuesday, December 8

90–100	A	70–79.99	C
80–89.99	B	60–69.99	D
		below 60	F

Tuesday quizzes — 20%

Ten minutes, on paper, scantron. I hand them out at **2:02 pm** and collect them at **2:12 pm**. If you arrive late you get whatever time is left. If you arrive after 2:12 you get a zero. There are no makeups. Because there are no makeups, **I drop your two lowest scores** and you do not need to explain why.

The quiz covers the assigned reading, not my lecture, and it comes before I have said anything. Bring the book.

Buils — 30%

Six times this semester you will build something with an AI agent and add it to a single website that grows over the term.

Why this is in the course. An AI agent can produce cognitive output at almost no cost in time. That is new. For most of history, producing an explanation or working out a result took hours, and those hours were where the understanding came from. The agent breaks that link. You can now have the output without having done the thinking, and you will not necessarily be able to tell the difference. So this course separates the parts on purpose and asks you to do all three of them.

The three things you have to learn to do:

1. **Produce it.** Direct an agent to make something that did not exist before: a working model, an explanation, a comparison. Getting an agent to produce something specific and correct is a skill, and it takes practice. Most of you have only ever asked a chatbot a question.
2. **Verify it.** Check what it produced against the book. Every substantive claim on your page carries a page number in Hunt and Lautzenheiser. You must also show me at least one place where the agent got something wrong and you caught it. If you never find anything, you did not verify it. You read it and agreed with it.
3. **Understand it.** Explain what you built, out loud, in class, without the agent open. This is the part that cannot be delegated, and it is the reason for the other two.

What you build. Each cycle I give you two or three options for that week's writer. Some of these writers state their arguments as models, in words and arithmetic rather than algebra, and for those you build a working version you can change the inputs on: Ricardo on rent, Malthus on population and wages, Marx on the rate of profit. Others are not making models at all. Bentham's calculus is an apparatus, not a mechanism, and Smith has no formal model of the division of labor. For those, the options are different: an exposition that works through what the argument claims and what it has to assume before it can claim it, or a comparison of two passages by the same author that do not sit easily together.

Do not force a writer into a model he did not build. Noticing which arguments can be formalized and which cannot is one of the things this course is about.

The sequence. Each cycle is the same four steps.

1. Work the relevant numbers or the argument out by hand, on paper. Turn the paper in. This is due before the build.
2. Have your agent produce the thing.
3. Check it against your paper and against the book. Fix what is wrong. Write down what was wrong.
4. Post it as one more page on your site.

How it is graded. Three criteria, matching the three things above.

Produce	It runs, it is about a specific idea from a specific writer, and it does what you said it would do.
Verify	Claims carry page numbers. Your hand computation matches the output, or you explain why it does not. At least one caught error is documented.
Understand	You can explain it in class without notes and without the agent.

An attractive page that you cannot explain is worth less than a plain one you can.

Midterm and final — 50%

Essay format. The midterm covers chapters 1–4 and is on **Thursday, October 1**. The final is on **Tuesday, December 8** — the last day of class, not finals week — and is cumulative with weight on the second half.

I am doing it this way on purpose. This course will be finished before finals week starts, so it is not one you have to study for during it.

If you miss the midterm for any reason, the final counts for both.

On artificial intelligence in this course

This course requires you to learn to use AI agents.

Most of you have used a chatbot. You type a question into ChatGPT and it gives you an answer. An agent is a different thing: you give it a task and it works through multiple steps on its own, writing and running code, until it produces something. Very few undergraduates have used one. I think it is a valuable skill, and there is no better time to learn it than now, so it is part of this course.

That is also why there is a quiz every Tuesday that no AI can help you with. Those are not two separate policies. They are one policy.

The Tuesday quiz establishes that you have done the reading and can do the arithmetic yourself. Once that is established, having an agent build something for you is reasonable, because you are able to check its work. Without it, you are approving output you cannot evaluate. Two years ago students in this course graded ChatGPT on whether its citations were real. The idea is the same. If you sign off on work, you are responsible for it being correct, whoever or whatever produced it.

There is also a connection to the material. Smith describes a pin factory where dividing the work raises output enormously, and later in the same book describes what performing one repetitive operation does to the worker who performs it. Marx and Mill both take up that problem. We will spend a month on the division of labor, and meanwhile you will be dividing your own work with an agent. That is deliberate and it is worth thinking about.

Explaining your build

There is an obvious way to do this assignment badly, which is to paste the reading into an agent, tell it to make a model, and turn in whatever comes back. So the builds are checked out loud.

After each build is due, you will explain your model to another student in class: what it does, what changes

when you change an input, and where the numbers came from. Then I will draw a name at random and that person comes to the front and explains theirs to everyone.

If you cannot explain the model you turned in, that build gets a zero. Names go back in the pool every time, so being called once does not mean you are finished.

The hand computation is due before the build, and I collect it. That part cannot be done by an agent, and it is the part that makes the rest of it work.

What is not allowed: using AI on a quiz or exam, or submitting a build whose arithmetic you did not do yourself. Everything else is a judgment call, and learning to make those calls is part of the course.

Electronics

No laptops or tablets during class. The research is consistent: students who take notes by hand do better than students who type, and screens reduce comprehension for nearby students as well as for the user. If you have a documented need for a device, come see me in office hours and we will arrange it.

Schedule

Chapters are Hunt & Lautzenheiser. Read the chapter *before* the Tuesday it appears.

Builds are due Thursday at 11:59 pm. Italicized dates and dates marked * are days I am away.

Wk	Tue	Thu	Topic	Ch	Due
1	Aug 25	Aug 27	Introduction; feudalism to capitalism	1	
2	Sep 1	Sep 3	Before Smith: mercantilism, Physiocrats	2	
3	Sep 8	Sep 10 <i>cov.</i>	Adam Smith I	3	
4	Sep 15	Sep 17 <i>cov.</i>	Adam Smith II	3	
5	Sep 22	Sep 24	Malthus	4	Build 1
6	Sep 29 *	Oct 1	MIDTERM (ch. 1–4)		
7	Oct 6	Oct 8	Ricardo I: value, rent	5	Build 2
8	Oct 13	Oct 15	Ricardo II: distribution, trade	5	
9	Oct 20	Oct 22	Bentham, Say, and Senior	6	Build 3
10	Oct 27	Oct 29	Thompson and Hodgskin	7	
11	Nov 3 *	Nov 5 *	Bastiat and Mill	8	
12	Nov 10	Nov 12	Bastiat and Mill, cont'd	8	Build 4
13	Nov 17	Nov 19	Marx I: value, labor power	9	Build 5
14	Nov 24	Nov 26	Thanksgiving — no class		
15	Dec 1	Dec 3	Marx II; Jevons, Menger, Walras	9–10	Build 6
16	Dec 8		FINAL EXAM		

A note about my travel

I am away for several class days this fall: a keynote in Milan, a seminar talk at Syracuse, a seminar talk in Boston, and a hackathon at Amazon.

Those days are not cancelled. A colleague will teach some of them, one of them is the midterm, and the rest will be asynchronous, meaning I post the material and you do the work on your own time. I will tell you which is which in advance. The reading schedule does not change.

This schedule is tentative in the way all schedules are. If we need an extra day on Ricardo, we will take it from

somewhere else, and I will tell you in advance.

University policies

Academic integrity

All students must abide by Baylor's Honor Code, <https://www.baylor.edu/honorcode>. A student who commits academic dishonesty disrespects the work of his classmates. If you fall behind and feel tempted, come see me first — we will find a way for you to turn work in late with a penalty, which is always better than the alternative.

Students with disabilities

Any student who needs learning accommodations should tell me at the beginning of the semester. Obtain documentation from the Office of Access and Learning Accommodation (OALA), Paul L. Foster Success Center, Sid Richardson Room 190, (254) 710-3605, and bring it to me early.

Title IX

Baylor does not discriminate on the basis of sex or gender and does not tolerate harassment on those grounds. If you or someone you know would like help related to sexual or gender-based harassment, sexual assault, exploitation, stalking, intimate partner violence, or retaliation for reporting, contact the Title IX Office at (254) 710-8454 or report online at <https://www.baylor.edu/titleix>. The office can explain your options and connect you to counseling, medical, academic, and housing support. You are not required to share your experience.

Lauren's Promise

Lauren McCluskey, a 21-year-old honors student and athlete at the University of Utah, was murdered on October 22, 2018, by a stalker. Lauren's Promise is my promise to *listen and believe you if someone is threatening you*.

If you are in immediate danger, call 911. Baylor Police: (254) 710-2222. Counseling Center: (254) 710-2467. Health Services: (254) 710-1010. Or tell me, and I will connect you to help.

Last revised August 24, 2026. This syllabus may change; I will announce any change in class and on Canvas.